

THE GROWTH of Inflow

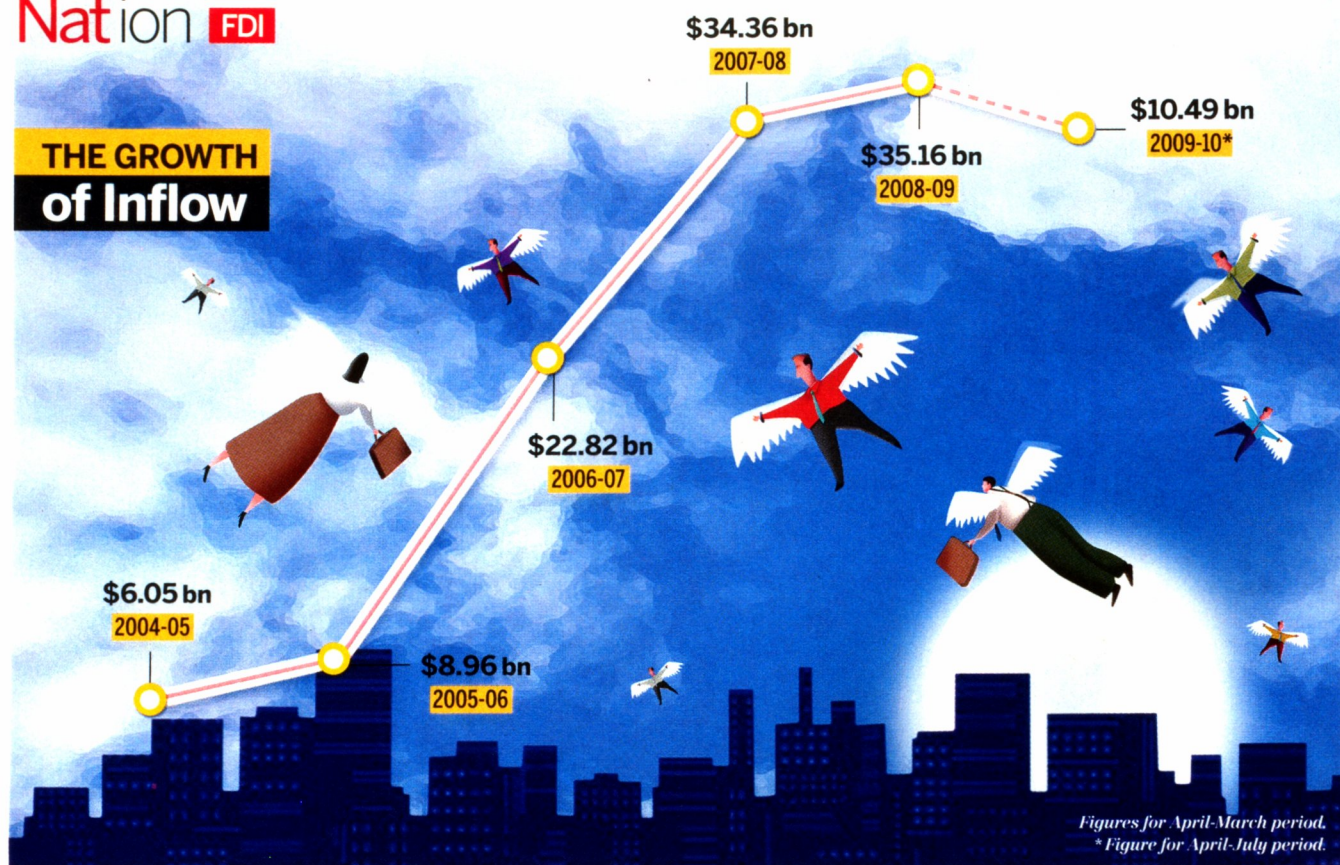
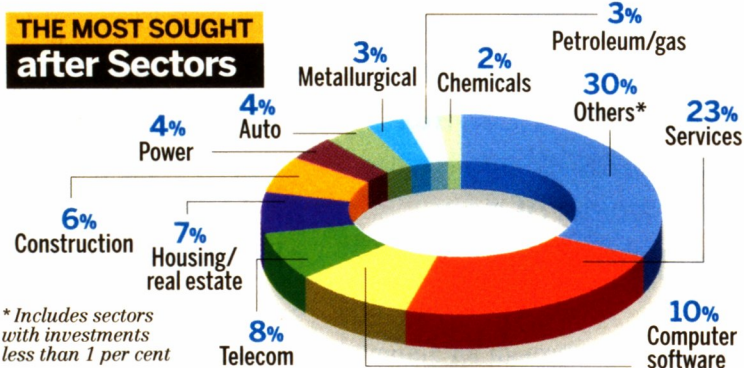
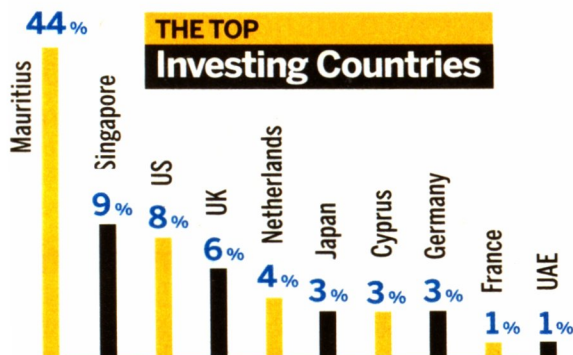


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grammes such as energy saving certificates, mandatory standards and labeling and fiscal incentives.

Minister for Road Transport and Highways Kamal Nath is wooing investors in Zurich and Singapore. With the Government committed to increasing the pace of highway development to 20 km per day, Nath sees investment opportunities of \$60 billion over the next three-four years. According to Nath, on the cards are review of the model concession agreement to allay the concerns of investors. "Road shows at Singapore were part of those in Europe and the US, planned in the coming months to

attract foreign investors. The sector's investment requirements till 2012 are pegged at at least \$12 billion."

It is not only roads and power which are changing the rules of the game to attract FDI. The Ministry of Food Processing Industries is preparing the blueprint for a fiscal regime that affords a five-year tax holiday to attract Rs 1 lakh crore worth of investment in the next five years. In textiles, Dayanidhi Maran has chalked out plans to increase the visibility of Indian textiles and clothing in big consumer markets like Japan where India has hardly any presence. Maran has been inaugurating Indian

pavilions in Tokyo and the US to showcase Indian textiles. "I am also pushing for R&D in textiles and planning road shows in seven European countries in November to attract FDI."

Telecom posted a robust growth of 103 per cent in 2008-09 after the FDI limit in telecom was raised from 49 to 74 per cent. The sector attracted \$2.55 billion in fiscal 2008-09 compared to \$1.26 billion in the previous fiscal. India may have decoupled from the worldwide trend of dwindling investment flows, but for now the Government needs to go all out to ensure that global investors maintain their momentum in India. ■